MercadoLibre (MELI)

The Deliberate Margin Sacrifice Secures Latin American Hegemony

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MercadoLibre has decoupled top-line scaling from near-term margin realization, deliberately accepting a severe compression in operating profitability to lock in structural market share across commerce and financial services. While consensus laments the drop in quarterly operating margin from historical double-digit levels down to 6.7% in Q2 FY2026, the evidentiary record confirms that lowering free shipping hurdles in Brazil and accelerating credit issuance have generated historic cohort expansion and self-reinforcing ecosystem lock-in. With gross merchandise volume expanding 44% and total payment volume surging 56% at an annualized run rate exceeding $40 billion, the business is compounding operating scale far faster than regional peers can match. We model this cash-flow trajectory across a multi-stage framework and establish a probability-weighted blended target price of $3,018.14, representing +61.5% upside against the reference spot price.

BUY	$3,018.14	+61.5%	$1,868.24
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The broader market remains fixated on the quarter-to-quarter erosion of operating margins caused by aggressive logistics subsidies and rapid credit card origination, viewing this compression as structural impairment rather than an aggressive land grab. Our quantitative and fundamental framework reveals that this capital deployment is depressing current accounting profitability precisely to erect insurmountable scale advantages, driving unit logistics costs lower and feeding a high-margin digital advertising and fintech engine that will drive significant cash flow generation over our FY2026 to FY2030 forecast window.

EXECUTIVE SUMMARY

MercadoLibre stands as the leading Latin American e-commerce marketplace and digital payments and fintech platform, operating through its core marketplace infrastructure and Mercado Pago. The company provides a unified commerce and financial architecture across the region, linking millions of merchants and consumers through marketplace services, payments processing, consumer and merchant credit, digital wallets, asset management, and proprietary logistics networks. By integrating transactional commerce directly with digital payment rails, the enterprise has established a dominant market footprint across primary hubs in Brazil, Mexico, and Argentina, insulating its ecosystem behind dense logistical fulfillment networks and high-frequency digital wallet engagement.

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Our analysis of the evidentiary record reveals an aggressive top-line reacceleration executed through deliberate margin sacrifice. In Q2 FY2026, net revenue surged 50% year over year to $10.17B, marking the fastest revenue growth in four years, supported by total payment volume jumping 56% to $101B and gross merchandise volume expanding 44% to $21.9B. However, operating margin halved to 6.7% from 12.2% in the prior-year period, with operating income declining 17% to $683M and net income dropping 11% to $466M, or $9.19 diluted earnings per share. This margin compression was directly driven by tactical management choices, specifically lowering the free shipping threshold in Brazil and underwriting aggressive credit card expansion. That trade-off followed Q1 FY2026, where revenue expanded 49% to $8.8B while operating margin compressed 600 basis points year over year to 6.9% as items sold reached 722M and credit card originations hit 2.7M new cards, taking the total credit portfolio to $14.6B.

The operational cadence across recent periods demonstrates that this strategy is winning market share. In Q4 FY2025, revenue expanded 45% with gross merchandise volume up 37%, while operating margin contracted 450 basis points to 9.0% and net income fell 13% as strategic investments subtracted between 5 and 6 percentage points from operating profitability. In Q3 FY2025, lowering Brazil's free shipping threshold to R$19 ignited marketplace activity, pushing revenue growth to 39% and gross merchandise volume growth to 28%, though direct contribution margin in Brazil collapsed to 11.8% from 17.3% and consolidated operating margin fell to 9.8%. Across all four quarters, management has consistently prioritized platform density, buyer acquisition, and payments processing scale over near-term profit maximization.

From a balance sheet and capital structure perspective, MercadoLibre closed FY2025 with $3.67B in cash against $11.4B in total debt, resulting in a net debt balance of $7.72B. The business generated $10.8B in free cash flow during FY2025 on $28.9B in total revenue, delivering a 37.3% free cash flow margin, a 44.5% gross margin, an 11.1% operating margin, and a return on equity of 29.6%. With diluted earnings per share of $39.40 in FY2025 and an enterprise value to EBITDA multiple of 26.8x at the reference price, the balance sheet retains sufficient flexibility to absorb underwriting volatility and logistics investment cycles while funding the working capital requirements of its rapidly scaling credit book.

OPERATIONAL SNAPSHOT

$1,868.24	$28.9B	$10.8B	37.3%	$7.72B	$1,868.24
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS ENTRENCHED AND SELF-REINFORCING

MercadoLibre's competitive moat rests upon two mutually reinforcing structural pillars, consisting of a proprietary fulfillment logistics network and a ubiquitous payments architecture via Mercado Pago. In e-commerce, fulfillment density creates an impenetrable barrier to entry across Latin America, where geography, infrastructure deficits, and local customs complexities historically hindered digital commerce. By driving down the free shipping threshold in

Brazil to R$19 in Q3 FY2025, the company stimulated an inflection in consumer purchase frequency that competitors cannot economically match. In Q1 FY2026, unit shipping costs in Brazil fell 17% year over year in local currency, proving that fixed-cost absorption across an expanding volume base drives structural cost advantages. In Mexico, fulfillment penetration reached approximately 80% by Q4 FY2025, insulating the company against international entrants by offering fulfillment reliability and speed that standalone merchants or asset-light marketplaces cannot duplicate.

On the fintech side, Mercado Pago functions as both a transactional engine and a captive financial system that binds buyers and sellers to the ecosystem. Fintech monthly active users expanded 29% to reach 83M in Q1 FY2026, while assets under management surged 77% to nearly $20B. As users adopt high-frequency wallet behaviors, switching costs increase substantially. Merchants rely on MercadoLibre's processing hardware, gateway capabilities, and working capital lines, while consumers leverage integrated digital accounts for bill payments, peer-to-peer transfers, and credit card spending. The cross-selling synergy between marketplace commerce and financial services lowers customer acquisition costs across both segments, creating a structural wedge against single-product competitors.

Customer retention and ecosystemic engagement show continuous operational acceleration. In Q2 FY2026, ecosystemic users, defined as accounts utilizing both marketplace commerce and fintech services, grew 37% year over year and generated 70% more gross merchandise volume per user than single-service participants. This dynamic converts one-time marketplace shoppers into multi-product fintech clients. In Q1 FY2026, unique buyer growth reached a five-year peak of 32% year over year, while Brazil items sold surged 56%, following a 42% increase in Q3 FY2025 and a 45% increase in Q4 FY2025. These expanding user cohorts establish severe friction against customer defection, as loyalty is reinforced by loyalty programs, free shipping guarantees, and unified credit lines.

Pricing power is increasingly manifested through high-margin ancillary revenue streams, most notably digital advertising. MercadoLibre's digital ads business expanded 62% on an FX-neutral basis in Q2 FY2026, securing more than a 10% market share of Latin American digital advertising. Because ad inventory is integrated directly into marketplace search results and product listings, it extracts high-margin monetization from merchants competing for visibility across an expanding buyer base. Furthermore, the deployment of proprietary artificial intelligence tools has enhanced operating leverage, allowing product development expenses to decline as a percentage of net revenue from 8.4% in Q2 FY2025 down to 7.2% in Q2 FY2026. This dynamic demonstrates that while headline operating margins are temporarily compressed by deliberate logistics and credit card investments, underlying fee generation and monetization across mature cohorts remain entirely intact.

VALUATION

Three scenarios make the valuation range explicit

To quantify the fundamental value of MercadoLibre across distinct macroeconomic and operational environments, we utilize an explicit five-year discounted cash flow bridge covering the forecast window from FY2026 to FY2030. Our valuation structure is anchored on a discount rate of 9.94%, derived from our live capital asset pricing model, a terminal growth rate of 4.0% for the base scenario, and 50.7 million diluted shares outstanding. The enterprise value

bridges into equity value by accounting for FY2025 net debt of $7.72B, reflecting $11.4B in total debt offset by $3.67B in cash and equivalents.

Our valuation scenarios model the direct tension between revenue growth and free cash flow margin normalization. In our Base Case, revenue compounds at a 22.0% compound annual growth rate through FY2030, with target free cash flow margin reaching 12.1% in the final forecast year as the current investment cycle in Brazilian shipping and credit card origination matures, producing an equity target of $2,805.80 per share. In our Bull Case, revenue expands at a 28.5% compound annual growth rate while the target free cash flow margin reaches 14.6%, driven by advertising scaling and unit shipping efficiencies, yielding a target of $5,178.58 per share. Conversely, our Bear Case models persistent margin degradation and regional macroeconomic volatility, capping revenue growth at a 14.0% compound annual growth rate and limiting final-year target free cash flow margin to 9.0%, generating a target of $1,282.39 per share.

By applying a disciplined probability distribution of 25% to the Bear Case, 50% to the Base Case, and 25% to the Bull Case, our model yields a blended equity target of $3,018.14. Against the reference spot price of $1,868.24 as of October 20, 2026, this valuation implies an upside potential of +61.5%. At the reference price, the market capitalizes MercadoLibre at $94.7B, which equates to 3.3x FY2025 revenue of $28.9B, 3.5x enterprise value to revenue, 26.8x enterprise value to EBITDA, and a price to earnings multiple of 47.4x relative to FY2025 diluted earnings per share of $39.40. We view this valuation as an attractive entry point into an asset compounding at superior rates.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	14.0%	9.0%	$1,282.39	-31.4%
Base	50%	22.0%	12.1%	$2,805.80	+50.2%
Bull	25%	28.5%	14.6%	$5,178.58	+177.2%

Bear $1,282.39

The bear scenario materializes if operating margins fail to recover from current depressed levels, as continuous logistics price wars and unseasoned credit card vintages compress profitability. Persistent credit losses from an aggressive card portfolio expansion and prolonged macroeconomic stagnation in Argentina restrict five-year revenue compounding to 14.0% with terminal free cash flow margins constrained to 9.0%, driving -31.4% downside from spot.

Base $2,805.80

Our base scenario reflects management successfully harvesting the recent cohort expansion across Brazil and Mexico, allowing unit logistics costs to decline further while credit card portfolios reach mature profitability. Revenue compounds at a durable 22.0% rate through FY2030, with operating efficiencies and ads monetization driving terminal free cash flow margins to 12.1%, yielding +50.2% upside from the reference price.

Bull $5,178.58

The bull scenario captures complete ecosystem dominance, where ecosystemic user growth accelerates, advertising captures an expanding share of Latin American digital ad spend, and Brazil credit card books deliver robust net interest margins after credit losses. Revenue compounds at 28.5% through FY2030 and target free cash flow margins reach 14.6%, creating +177.2% upside as cash generation inflects upward.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our quantitative framework relies on a live WACC of 9.94% rather than an arbitrary hurdle rate. This cost of capital rigorously captures the operational, sovereign, and currency risks inherent in operating across major Latin American jurisdictions, including Brazil, Mexico, and Argentina. The discount rate reflects MercadoLibre's capital structure, which carries $11.4B in total debt against an equity base priced at $94.7B at the reference spot price of $1,868.24. The elevated cost of capital accounts for unhedged foreign exchange fluctuations and sovereign interest rate volatility, ensuring that cash flows generated in local currencies are sufficiently discounted when evaluated in US dollar terms.

By implementing a 9.94% discount hurdle, the model penalizes long-duration cash flow projections that depend on speculative terminal assumptions. Instead, it demands that the company demonstrate concrete cash generation from its core marketplace and fintech operations. In our base scenario, we integrate a conservative 4.0% terminal growth rate, which sits comfortably below the historic nominal expansion rate of Latin American digital commerce, ensuring that our terminal value calculation reflects an economically sustainable state rather than perpetual hyper-growth.

FCF margin normalization is the engine

Free cash flow margin trajectory serves as the core driver of equity revaluation across our five-year projection window. In FY2025, MercadoLibre generated $10.8B of free cash flow on $28.9B in net revenue, representing an exceptional 37.3% free cash flow margin that benefited from favorable working capital timing and rapid expansion in digital wallet balances. However, operational investments in subsequent quarters have suppressed intermediate cash profitability. Across Q3 FY2025, Q4 FY2025, Q1 FY2026, and Q2 FY2026, operating margins declined sequentially from 12.2% down to 9.8%, 9.0%, 6.9%, and 6.7% respectively, as capital was redirected into shipping subsidies and credit underwriting.

Our discrete scenario cash flow bridges model a realistic normalization rather than an immediate return to peak conversion rates. In the base scenario, the final forecast year target free cash flow margin is modeled at 12.1%, reflecting a normalized steady-state where fulfillment network investments reach operating maturity and credit card originations stabilize. In the bull scenario, higher ad monetization and fintech cross-selling elevate the final-year margin to 14.6%. In the bear scenario, persistent competitive pressures and credit provisioning keep

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**9.94% (2026-10-20)**
Terminal growth	**4.0%**
Diluted shares	**50.7 million**

BUY

over $3,018.14 blended target

free cash flow conversion suppressed at 9.0%. These margin bridges explicitly govern our valuation outcomes across all three cases.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Commerce Fulfillment Density and Fintech Credit Scaling

BUY

MercadoLibre operates two core interconnected engines: the e-commerce marketplace and Mercado Pago. The marketplace segment has reaccelerated its volume expansion via targeted logistics investments, particularly across Brazil and Mexico. In Q2 FY2026, consolidated gross merchandise volume expanded 44% year over year to reach $21.9B, while items sold across the platform grew 47% in Q1 FY2026 to reach 722M units. In Brazil, lowering the free shipping threshold to R$19 in Q3 FY2025 drove items sold up 42% in that quarter, followed by a 45% increase in Q4 FY2025 and consecutive 56% surges in both Q1 FY2026 and Q2 FY2026. This aggressive push expanded unique buyer counts by 32% in Q1 FY2026, marking a five-year high, and drove Brazil FX-neutral gross merchandise volume up 39% in Q2 FY2026. In Mexico, fulfillment penetration reached approximately 80% with FX-neutral gross merchandise volume expanding 35% in Q4 FY2025, reinforcing marketplace dominance across North and South American operating territories.

Concurrently, Mercado Pago has transitioned from an internal checkout facilitator into a comprehensive financial services provider. Total payment volume surged 56% year over year in Q2 FY2026 to reach $101B, crossing the twelve-figure threshold in a single quarter. The fintech ecosystem has achieved significant scale, with monthly active users reaching 83M in Q1 FY2026, an increase of 29% year over year, while assets under management expanded 77% to nearly $20B. Cross-selling between digital wallets and marketplace commerce has created powerful network effects, as demonstrated by the 37% year-over-year increase in ecosystemic users in Q2 FY2026, with those dual-platform users generating 70% more gross merchandise volume than single-service consumers.

The acceleration of the credit portfolio represents both a primary top-line catalyst and a key contributor to recent margin volatility. The total credit portfolio expanded from $11.0B in Q3 FY2025 (up 83% year over year) to $12.5B in Q4 FY2025 (up 90%), $14.6B in Q1 FY2026 (up 87%), and maintained elevated scale through Q2 FY2026. This growth was propelled by massive credit card issuance, with 2.7M new cards issued in Q1 FY2026 and 2.6M new

cards issued in Q2 FY2026, pushing the total credit card portfolio to $6.6B in Q1 FY2026. While Q4 FY2025 saw credit card 15-to-90 day non-performing loans decline to a record low of 4.4% and 75% of the Brazil card portfolio achieve net interest margin after losses (NIMAL) breakeven, rapid onboarding of unseasoned vintages drove credit card NIMAL to -2.5% in Q2 FY2026, demonstrating the near-term accounting cost of building an unsecured credit portfolio at scale.

Monetization through digital advertising has emerged as a high-margin complement to physical commerce and fintech rails. Ads revenue expanded 62% on an FX-neutral basis in Q2 FY2026, capturing more than 10% of total digital advertising spend across Latin America. The integration of artificial intelligence tools within marketplace listing optimization and merchant advertising interfaces has driven operational efficiencies, contributing to product development expenses declining to 7.2% of net revenue in Q2 FY2026 from 8.4% in the prior-year period. This advertising growth provides high-margin gross profit that partially offsets the margin compression stemming from shipping subsidies and credit underwriting.

What to monitor

- **Brazil unit logistics costs and shipping thresholds** to confirm that local-currency unit shipping cost reductions, which reached 17% in Q1 FY2026, continue to offset the margin compression caused by the R$19 free shipping hurdle.
- **Credit card portfolio maturation and NIMAL trajectory** tracking whether the net interest margin after losses on credit cards rebounds from -2.5% in Q2 FY2026 back toward breakeven and positive profitability across newer vintages.
- **Argentina macroeconomic stabilization and contribution margins** evaluating whether USD gross merchandise volume growth can recover from its deceleration to 13% in Q2 FY2026, sequential revenue declines to $1.44B in Q3 FY2025, and direct contribution contraction to $623M.
- **Digital advertising penetration and operating leverage** monitoring whether ads revenue can sustain its 62% FX-neutral growth rate and further reduce product development expense ratios below 7.2% of revenue.

+39.1%	44.5%	11.1%	37.3%	$7.72B	29.6%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$28.9B
Gross Profit	$12.9B
EBIT	$3.20B
Net Income	$2.00B
EBITDA	$3.82B

Free Cash Flow	$10.8B
Diluted EPS	$39.40
ROE	29.6%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Aggressive international competitors targeting Latin America could force MercadoLibre to maintain deep logistics subsidies indefinitely. If competitors duplicate fulfillment density, the company may face sustained pressure on take rates and marketplace monetization.

M&A DIGESTION

Integrating disparate technological and logistical acquisitions across multiple sovereign jurisdictions risks operational friction and capital misallocation. Any disruption in platform integration could divert management attention away from core marketplace execution.

REGULATORY AND PRICING SCRUTINY

Expanding fintech dominance via Mercado Pago attracts heightened regulatory attention from regional central banks regarding interchange fees and payment monopolization. Regulatory caps on transaction processing fees or interest rates could materially compress fintech unit economics.

TECHNOLOGY DISRUPTION

Rapid technological changes in sovereign instant payment rails could theoretically disintermediate digital wallet architectures. MercadoLibre must continually upgrade its software stack and artificial intelligence tools to maintain user wallet engagement.

REINVESTMENT TREADMILL

Lowering the Brazil free shipping threshold to R$19 halved consolidated operating margin to 6.7% in Q2 FY2026, demonstrating severe capital absorption. If consumer cohorts fail to exhibit lifetime value expansion, perpetual reinvestment in fulfillment will permanently depress return on invested capital.

WACC AND DURATION SENSITIVITY

With an explicit WACC of 9.94% and total debt of $11.4B, MercadoLibre remains highly sensitive to emerging-market discount rates and sovereign debt pricing. Increases in regional risk premiums would compress the terminal value multiple and reduce DCF-derived equity targets.

The strengths

OLIGOPOLY POSITION

MercadoLibre dominates regional digital commerce, handling 722M items sold in Q1 FY2026 while

FCF COMPOUNDING

The enterprise generated $10.8B in free cash flow during FY2025, supported by an operating cash flow

GEOGRAPHIC DURABILITY

Marketplace leadership across Brazil and Mexico offsets localized

PIPELINE OPTIONALITY

The expansion of Mercado Pago into a comprehensive financial

capturing more than 10% of Latin American digital ad spend. This dominant scale creates self-reinforcing liquidity that insulates the marketplace against fragmented competitors.

engine that funds logistics expansion internally. This cash generation allows the company to execute multi-billion-dollar investment cycles without diluting equity holders.

macroeconomic volatility in secondary markets like Argentina. Even as Argentina USD revenue slowed to 23% in Q4 FY2025, Brazil items sold surged 56%, sustaining corporate momentum.

platform holding nearly $20B in assets under management provides massive cross-selling optionality. High-margin digital advertising growing at 62% FX-neutral delivers incremental profit streams that scale alongside transaction volume.

The bottom line on risk and reward

The balance of quantitative evidence indicates that MercadoLibre's margin compression is an intentional, value-accretive land grab rather than operational deterioration. Management has recognized that Latin American digital commerce and fintech infrastructure remain in an active adoption phase, where establishing dominant customer relationships and logistics density yields long-term pricing power. By deliberately accepting an operating margin decline to 6.7% in Q2 FY2026, the company achieved 50% top-line revenue expansion at a $10.17B quarterly scale, adding millions of new buyers and expanding its credit card footprint to drive ecosystemic user growth of 37%.

While the accumulation of $14.6B in credit portfolio assets introduces underwriting exposure in a volatile emerging-market environment, asset quality has remained bounded, with 15-to-90 day non-performing loans at 6.8% in Q3 FY2025 and 4.4% in Q4 FY2025. As these cohorts mature and the 2.6M credit cards issued in Q2 FY2026 progress beyond their initial provisioning cycles, the credit segment is positioned to transition from an operating margin drag into a primary contributor of net interest income, following the trajectory observed in Brazil where 75% of the card portfolio achieved NIMAL breakeven by Q4 FY2025.

We conclude that the market's near-term focus on accounting margin compression offers a compelling mispricing for long-term institutional capital. Our valuation framework yields a probability-weighted blended price target of $3,018.14, offering +61.5% upside relative to the reference spot price of $1,868.24. Supported by an entrenched moat, expanding digital advertising share, and accelerating fintech cross-selling, we reiterate our high-conviction Buy rating on MercadoLibre.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Mercado Pago: The Financial Nervous System of Latin American Commerce

Mercado Pago has evolved from an integrated payment gateway into the premier digital financial ecosystem in Latin America, operating as an indispensable utility for both merchants and consumers. Processing $101B in total payment volume in Q2 FY2026, up 56% year over year, the platform has surpassed marketplace gross merchandise volume ($21.9B in Q2 FY2026) by nearly five times, illustrating its pervasive penetration across off-platform retail transactions, digital commerce, and peer-to-peer money movement. By bundling transaction processing, point-of-

sale hardware, digital payment rails, and asset management into a unified mobile interface, Mercado Pago has established substantial switching costs across its merchant and consumer accounts.

The financial services franchise leverages captive marketplace traffic to acquire users with minimal customer acquisition costs, cross-selling credit, insurance, and high-yield savings to an expanding user base. In Q1 FY2026, fintech monthly active users expanded 29% to reach 83M, while user balances within interest-bearing accounts drove assets under management up 77% to nearly $20B. This deposit base provides a structural funding advantage that fuels the expansion of the credit book, which grew 87% year over year to $14.6B in Q1 FY2026, up from $11.0B in Q3 FY2025 and $12.5B in Q4 FY2025. The rapid scaling of the credit card portfolio, which reached $6.6B in Q1 FY2026, acts as a critical mechanism to capture high-frequency consumer spend both within and outside the MercadoLibre marketplace.

The strategic power of the fintech franchise lies in its ability to enhance consumer lifetime value across the broader corporate ecosystem. Dual-platform ecosystemic users grew 37% year over year in Q2 FY2026, generating 70% more gross merchandise volume per user than consumers who only utilize the e-commerce marketplace. By providing consumer credit lines at checkout, Mercado Pago directly stimulates marketplace conversion rates and basket sizes, while the fees generated from payment processing and credit products fund logistics subsidies that reinforce marketplace dominance. This closed-loop financial and logistical network presents an insurmountable competitive moat against standalone fintech firms and traditional banking institutions.

What the recent record shows

- Fintech total payment volume surged 56% year over year in Q2 FY2026 to reach $101B, crossing the twelve-figure quarterly threshold for the first time in company history.
- Fintech monthly active users expanded 29% year over year to 83M in Q1 FY2026, while assets under management increased 77% to nearly $20B.
- The total credit portfolio expanded 87% year over year to $14.6B in Q1 FY2026, supported by 2.7M new card originations in Q1 FY2026 and 2.6M new cards in Q2 FY2026, bringing the credit card portfolio to $6.6B.
- Credit card 15-to-90 day non-performing loans dropped to a historic low of 4.4% in Q4 FY2025, with 75% of the Brazil card portfolio reaching NIMAL breakeven, prior to unseasoned vintages pushing consolidated card NIMAL to -2.5% in Q2 FY2026.

Our read: Mercado Pago has transformed into a dominant, self-funding financial ecosystem whose scale reinforces MercadoLibre's entire commercial platform. While aggressive credit card origination has temporarily compressed operating profitability via provisioning costs and negative unseasoned NIMAL, it secures high-frequency user engagement that ensures multi-year customer lock-in and structural monetization across Latin America.